Contestant #__________

UIL ACCOUNTING

2026 District Test

Do not turn this page until the start signal is given!

All answers MUST be written on your answer sheet.

No other test materials are graded or reviewed by the graders.

Upper- or lower-case letters are acceptable. Write legibly. All answers must be clearly written, or they will be counted wrong. Write letters far enough above the line so that (for example) an "E" is distinguishable from an "F". If using T or F for true-false questions, make sure your answer is clearly discernible.

Carefully read the instructions for each group of questions. Pay particular attention to instructions regarding: 1) the format of answers; 2) rounding; and 3) answers with brackets or parentheses.

You may remove the pages from the staple for convenience; only the answer sheet is considered by the graders. You may answer the questions in any order; there is no penalty for skipping groups. There are no penalty points for wrong answers!

Acceptable Responses Section

Debit/Credit questions:								True/False questions:							Yes/No questions:						for Zero
Debit		DR		debit		dr		True		T		true		Yes		Y		yes			0 Ø -0-
Credit		CR		credit		cr		False		F		false		No		N		no			zero

If an answer has zero cents, it is not necessary to write the decimal or the zeroes for cents. However, any dollar amount with cents must have TWO decimal places.

A required decimal point must be clearly visible and in the correct position.

Round dollar amounts to the nearest cent.

Including commas in an amount where appropriate is encouraged, but it is optional. Failure to use commas will not make your answer wrong; however, marking a comma in the wrong position will cause your answer to be marked incorrect.

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UIL ACCOUNTING
2026 District Test

Group 1

Answer items 1 – 10 on your answer sheet by writing True or False.

1. Insurance Expense is increased with a debit.
2. Accounts Payable is decreased with a credit.
3. Prepaid Insurance is decreased with a debit.
4. Merchandise Inventory is increased with a debit.
5. Sales is increased with a credit.
6. The owner’s withdrawal account is increased with a debit.
7. Accounts Receivable is increased with a credit.
8. The owner’s capital account is decreased with a credit.
9. Purchases Returns & Allowances is increased with a credit.
10. Sales Discounts is increased with a credit.

Group 2

For questions 11 – 16, write the identifying letter of the best response on your answer sheet.

11. A form that lists the items included in a shipment of merchandise to a buyer is called a/an _____.

    A. invoice B. packing slip C. purchase order D. supplier’s bill

12. Which of the following is a revenue item?

    A. proceeds of a bank loan C. sales on account
    B. investments by owner D. all the above

13. The accounting operation that transfers amounts in journals to appropriate accounts in the ledger is called _____.

    A. debiting B. footing C. posting D. journalizing

14. Which of the following is most useful in determining how to record a transaction initially?

    A. source document B. journal C. ledger D. work sheet

15. The expression, “December 31, 2025,” would be the proper dating of the heading of a company’s _____.

    A. Income Statement D. both a and c
    B. Balance Sheet E. none of the above
    C. Worksheet

16. Which of the following would be deducted from the checkbook balance after a bank reconciliation?

    A. outstanding checks C. service charges
    B. deposits in transit D. note collected by bank

Group 3

Consider the following payroll data. All the information presented is correct, and missing information can be determined from the data given. Johnny's rate of pay remained the same throughout the year. Round all answers to the nearest cent. For questions 17 – 24, write the identifying letter of the best response on your answer sheet.

Johnny Wright			Employee Earnings Record				
Week Ending	**Standard Hours**	**OT Hours**	**Gross Earnings**	**Social Security Tax**	**Medicare Tax**	**Federal Income Tax**	**Net Pay**
1st Qtr.			5,320.00	329.84	77.14	540.00	4,373.02
Apr 7	40	0	800.00	49.60	11.60	84.00	654.80
14	40				15.08	118.00	842.44
21	40		1,160.00	71.92	16.82	120.00	951.26
28	40			79.36		140.00	1,042.08
May 5	40			57.04	13.34	96.00	
12	40		1,400.00			144.00	
19	40		1,520.00	94.24	22.04	168.00	1,235.72
26	40		1,640.00			180.00	

Company payroll policies and other information:	
Payroll Period	**Weekly**
Standard Work Week	**40 hours**
Overtime Pay	**Time and a half for hours over standard**
Social Security Rate	**6.2% on gross earnings up to $176,100**
Medicare Rate	**1.45% on all gross earnings**
Federal Income Tax	**Amounts withheld provided in earnings record**
FUTA (federal unemployment tax)	**.8% on first $7,000 gross earnings**
SUTA (state unemployment tax)	**2.4% on first $9,000 gross earnings**
Johnny's standard rate of pay	**$__?__ per hour**

17. How many overtime hours did Johnny work in April and May?

    A. zero B. 36 C. 76 D. 112 E. 168

18. What total amount of Medicare tax has been withheld year-to-date as of the last pay period in May?

    A. $62.06 B. $79.46 C. $141.52 D. $218.66 E. $339.76

Group 3, cont'd.

* 19. What is the amount of federal unemployment tax owed for the week ending April 14?

A. zero B. $1.92 C. $6.40 D. $7.04 E. $8.32

* 20. What is the amount of state unemployment tax owed for the week ending April 28?

A. $5.44 B. $14.40 C. $16.32 D. $30.72 E. none of the above

* 21. What is the amount of state unemployment tax owed for the week ending May 19?

A. zero B. $9.12 C. $10.24 D. $16.80 E. $18.24

* 22. Consider that Johnny quit this job (because of all the overtime required) and did not receive any paychecks in June through December. What amount would the employer report on Johnny's IRS Form W-2 in Box 5, "Medicare Wages and Tips?"

A. zero B. $218.66 C. $5,320 D. $9,760 E. $15,080

* 23. What is the total amount of federal income tax withheld from Johnny's earnings for the year?

A. zero B. $462 C. $540 D. $588 E. none of the above

** 24. What is the total amount debited to the employer's general ledger account called Payroll Tax Expense for January through May for this one employee?

A. 218.66 B. $934.96 C. 1,153.62 D. $1,425.62 E. $1,636.18

Group 4

Identify which of the payroll terms in the chart below best defines items 25 – 28 and write the identifying letter of the correct answer on your answer sheet.

PAYROLL FORMS			
A.	**Form 940**	**D.**	**Form W-2**
B.	**Form 941**	**E.**	**Form W-3**
C.	**Form 8109**	**F.**	**Form W-4**

25. This form reports the annual summary of earnings paid and taxes withheld for each employee.

26. This form accompanies the payment of taxes to the federal government.

27. This form is the transmittal form to the government that summarizes wage statements.

28. This form is the annual report of federal unemployment tax that employers pay.

Group 5

The partially completed annual 12–month income statement information for a retail company for the years 2024 and 2025 follows. In 2024, the gross profit percentage was 41%, and it increased to 42% in 2025, despite the reduction in 2025 sales. On 12–31–24, the adjusting entry for the Merchandise Inventory account included a debit to Income Summary for $1,440. The Income Statement for the year ended December 31, 2025, indicated that net income was exactly 22% of Sales. Determine the missing amounts, and write the answers for items 29 – 37 on your answer sheet.

	2024	2025
Sales	#29	* #35
Beginning Inventory	* #30	??
Purchases	58,673	??
Transportation In	4,267	4,180
Cost of Delivered Merchandise	??	64,773
Purchases Discounts	2,178	4,736
Purchases Returns & Allowances	* #31	2,984
Net Purchases	??	??
Cost of Merchandise Available for Sale	* #32	??
Ending Inventory	* #33	22,630
Cost of Merchandise Sold	58,410	54,723
Gross Profit	??	??
Expenses	21,339	* #36
Net Income	#34	* #37

(Test continues on the next page.)

Group 6

Dal-mart is located in Paradise, Texas. The following are some of Dal-Mart's invoices for merchandise purchased on account in 2025.

In each case the supplier pays an independent freight company directly for the transportation costs, then settles up with the buyer as needed through the terms of each invoice.

Supplier	Location	Invoice Date	Terms	Total Merchandise	Merchandise Returned
Big D Distributing	Dallas	11-03-25	1/15,n/30	$3,265	$115
Panhandle Distr.	Borger	12-06-25	2/10,n/60	$8,628	$384

For questions 38 – 45, on your answer sheet, write Yes or No.

Questions 38 – 41 refer to the invoice from Big D.

>>>Transportation costs were $116; terms FOB destination.

38. Is November 13, 2025, the due date of the discount period?
39. Is the amount of the discount $32.65?
40. If paid after the discount due date, is the correct amount of the check $3,150.00?
41. If paid before the discount due date, is the correct amount of the check $3,118.50?

Questions 42 – 45 refer to the invoice from Panhandle.

>>>Transportation costs were $410; terms FOB shipping point.

42. Is the due date December 16, 2025, if not paid within the discount period?
43. Is the correct amount of the discount $164.88?
44. If paid within the discount period, is the correct amount of the check $8,079.12?
45. If not paid within the discount period, is the correct amount of the check $8,244.00?

Group 7

A partially completed petty cash report is shown below. Determine the missing amounts and write the answers for questions 46 and 47 on your answer sheet.

PETTY CASH REPORT

Date: *December 31 --* **Custodian:** *Jody Hall*

Explanation		Reconciliation		
Fund total			200.00	
Payments:				
	Supplies	* #46		
	Postage	41.00		
	Miscellaneous	18.15		
Less:	Total payments			
Equals:	Recorded amount on hand			
Less:	Actual amount on hand		15.95	
Equals:	Cash short or over? short		.45	
Amount needed to replenish				#47

Group 8

Determine the unknown amount in each of the following independent situations. The amounts in the beginning and ending balance columns represent normal balances. Answer questions 48 – 50 by writing the correct amount on your answer sheet. Indicate a net loss by using brackets or parentheses.

Account	Beginning Balance	Ending Balance	Other Information
Accounts Payable	72,841	69,811	Paid on account 90,244
Prepaid Insurance	6,280	7,150	Insurance premiums expired during the period 14,810
Owner's Capital	94,810	96,745	Owner's withdrawals 15,000 Owner's investments 3,800

48. What amount was purchased on account from vendors during the period?
49. What amount of insurance premiums were paid during the period?
50. What was the amount of net income or net loss for the period?

Group 9

Reconcile the bank statement using the following T-account form and the information provided below.

Bank Reconciliation			
December 31			
Bank Statement Balance, 12/29		**Checkbook Balance, 12/31**	
Add:		**Add:**	
Deduct:		**Deduct:**	

On December 31, a company bookkeeper received a bank statement dated December 29 and reviewed it along with other accounting records and found the following facts:

- The ending bank balance was $9,441.29
- The checkbook balance on Dec. 31 before reconciliation was $14,109.39
- The following checks were written in November, were outstanding in November, and still did not appear on this bank statement:
  check #4077…$143.98 check #4085…$1,142.63
- The following checks were written in December and did not appear on this bank statement:
  check #5055…$3,492.27 check #5058…$336.84
  check #5056…$5,649.87 check #5060…$149.42
- The bank charged $32.50 for the month's service charge.
- A check in the amount of $1,600 from a charge customer that was deposited on Dec. 20 was returned by the bank for insufficient funds. The bank charged the account a $25.00 NSF check fee. No journal entries have been made yet.
- A Dec. 31 deposit of $17,921.42 does not appear on the bank statement.
- A check written in early December for $4,505.00, payable to Busy Bee Co., was lost in the mail. A stop payment order, which cost $22.50, was issued by the bank on Dec. 29. The fee and the voided check have not yet been recorded in the checkbook. A replacement check will be issued in January.
- The review of the bank statement revealed that a December debit card charge of $44.00 to the post office was not recorded in the company checkbook.
- The bank statement also showed an electronic funds transfer to a vendor for $442.69 that needed to be recorded in the company checkbook.

For questions 51 and 52 write the correct amount on your answer sheet.

51. What is the total of the deductions to the checkbook side of the reconciliation?

* 52. What is the reconciled bank balance as of December 31?

Group 10

The trial balance presented below is not correct, due to the errors listed below the table. The company records prepaid items in asset accounts. No adjusting entries have been made, due to the many inaccuracies. Make the necessary corrections to the trial balance and write the correct amount for items 53 – 64 on your answer sheet.

Account	Trial Balance			Corrected TB	
	Debit	Credit		Debit	Credit
Cash in Bank	10,240			**#53**	
Accounts Receivable	8,980			**#54**	
Merchandise Inventory	80,680			**#55**	
Prepaid Insurance	1,800				
Office Supplies	1,420			**#56**	
Office Equipment	15,020			**#57**	
Accounts Payable		20,976			**#58**
Sales Tax Payable		630			
Amy Packer, Capital		36,900			**#59**
Amy Packer, Drawing	3,500			**#60**	
Income Summary		964			
Sales		62,350			**#61**
Purchases				**#62**	
Office Supplies Expense	180			**#63**	
Insurance Expense					
Total	121,820	121,820		**** #64**	

- A computer printer purchased on credit was recorded with a debit to Office Supplies and a credit to Accounts Payable for $850.
- A $420 collection of an account receivable was journalized as $240.
- A cash purchase of office supplies for $180 was debited to Office Supplies Expense and credited to Cash.
- A $260 payment of an account payable was recorded with a credit to Cash for $260 and a credit to Accounts Payable for $206.
- A (non-taxable) sale on account for $700 was recorded with a debit to Accounts Receivable for $700 and a credit to Sales for $70.
- Recalculating the Sales Tax Payable account balance before any corrections had been made revealed that the balance should be $430.
- An owner investment was debited to Cash for $1,000, but the credit was not posted.
- A $200 payment to a creditor on account was debited to Accounts Receivable and credited to Cash.
- All purchases of merchandise for the year had been debited to Merchandise Inventory. The beginning inventory was $32,500.
- An owner's withdrawal of cash for $500 was credited correctly but was debited to the capital account.
- In order to get the trial balance provided to balance, the bookkeeper had "plugged" the difference to Income Summary.

Group 11

Mason Stone owns a business called Rock–Solid Repairs. He specializes in three types of repair services: 1) computers, 2) cell phones, and 3) printers. Mason set up his general ledger so he could track the revenue for each of the three services.

Mason closes the temporary accounts at the end of the fiscal year in this manner:
First, close all revenue accounts in one combined entry.
Second, close all expense accounts in one combined entry.
Third, close the Income Summary account.
Fourth, close the owner's drawing account.

The adjusted trial balance data for Rock-Solid Repairs for the calendar year 2025 is presented below. Mason Stone invested $12,260 in cash in his business during 2025.

Cash in Bank	18,684	Cell Phone Repair Fees	7,327
Accounts Receivable	3,814	Printer Repair Fees	4,950
Supplies on Hand	2,430	Rent Expense	4,500
Prepaid Insurance	1,160	Utilities Expense	2,220
Repair Equipment (Tools)	11,155	Supplies Expense	3,219
Computer Equipment	8,790	Equipment Repairs Expense	1,430
Accounts Payable	2,530	Cleaning Expense	900
Mason Stone, Capital	37,243	Advertising Expense	1,565
Mason Stone, Drawing	15,000	Insurance Expense	3,180
Computer Repair Fees	26,415	Miscellaneous Expense	418

For questions 65 – 71, write the identifying letter of the best response on your answer sheet.

65. What was the balance of Mason Stone, Capital on 1-1-25?
A. $15,983 B. $24,983 C. $30,983 D. $37,243 E. $39,983 F. $49,503

66. What was the amount that affected Income Summary in the first closing entry?
A. $12,277 B. $17,432 C. $26,415 D. $32,432 E. $37,243 F. $38,692

67. What was the amount that affected Income Summary in the second closing entry?
A. $17,432 B. $22,382 C. $29,709 D. $32,432 E. $38,692 F. $44,709

68. What was the amount that affected Income Summary in the third closing entry?
A. $3,294 B. $6,260 C. $15,000 D. $21,260 E. $36,260 F. $38,692

69. The third closing entry will include a debit to which account?
A. Mason Stone, Capital B. Income Summary C. Mason Stone, Drawing

70. The fourth closing entry will include a debit to which account?
A. Mason Stone, Capital B. Income Summary C. Mason Stone, Drawing

* 71. What was the Mason Stone, Capital balance on 12-31-25, after posting all closing entries?
A. $22,243 B. $37,243 C. $43,503 D. $51,952 E. $57,503 F. $66,952

Group 12

Some amounts are omitted in each of the financial statements that are presented below. No investments were made by the owners of the three companies.

Income Statement
For the Year Ended December 31, 2025

	Peanut Corp.	Popcorn Corp.	Pretzel Corp.
Revenues	$48,000	$ **(d)**	$82,000
Expenses	**(a)**	52,000	64,000

Owner's Equity Statement
For the Year Ended December 31, 2025

	Peanut Corp.	Popcorn Corp.	Pretzel Corp.
Capital, January 1	$ **(b)**	$45,000	$50,000
Net Income	15,000	24,000	**(g)**
Drawing	12,000	**(e)**	17,000
Capital, Dec. 31	33,000	54,000	**(h)**

Balance Sheet
December 31, 2025

	Peanut Corp.	Popcorn Corp.	Pretzel Corp.
Total assets	$75,000	$ **(f)**	$91,000
Total liabilities	**(c)**	56,000	**(i)**
Total owner's equity	??	??	??

For questions 72 – 80, determine the missing amounts for items "a" through "i" and write the correct amount for each on your answer sheet.

72. Item a
73. Item b
74. Item c
75. Item d
76. Item e
77. Item f
78. Item g
79. Item h
* 80. Item i

This is the end of the test. Please hold your test and answer sheet until the contest director asks for them. Thank you.

2026 UIL Accounting District Test KEY DO NOT DISTRIBUTE TO STUDENTS!

GROUP 1

1. True
2. False
3. False
4. True
5. True
6. True
7. False
8. False
9. True
10. False

GROUP 2

11. B
12. C
13. C
14. A
15. B
16. C

GROUP 3

17. D
18. D
* 19. D
* 20. C
* 21. A
* 22. E
* 23. E
** 24. D

GROUP 4

25. D
26. C
27. E
28. A

GROUP 5

29. $ 99,000
* 30. $ 21,740
* 31. $ 3,792
* 32. $ 78,710
* 33. $ 20,300
34. $ 19,251
* 35. $ 94,350
* 36. $ 18,870
* 37. $ 20,757

GROUP 6

38. No
39. No
40. Yes
41. Yes
42. No
43. Yes
44. No
45. No

GROUP 7

* 46. $ 124.45
47. $ 184.05

GROUP 8

48. $ 87,214
49. $ 15,680
50. $ 13,135

GROUP 9

51. $ 2,166.69
* 52. $ 16,447.70

GROUP 10

53. $ 10,420
54. $ 8,600
55. $ 32,500
56. $ 750
57. $ 15,870
58. $ 20,310
59. $ 38,400
60. $ 4,000
61. $ 62,980
62. $ 48,180
63. $ zero
** 64. $ 122,120

GROUP 11

65. B
66. F
67. A
68. D
69. B
70. A
* 71. C

GROUP 12

72. $ 33,000
73. $ 30,000
74. $ 42,000
75. $ 76,000
76. $ 15,000
77. $ 110,000
78. $ 18,000
79. $ 51,000
* 80. $ 40,000

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*** Bonus Point Questions**

19 – 1	**33 – 1**
20 – 1	**35 – 1**
21 – 1	**36 – 1**
22 – 1	**37 – 1**
23 – 1	**46 – 1**
24 – 2	**52 – 1**
30 – 1	**64 – 2**
31 – 1	**71 – 1**
32 – 1	**80 - 1**

Total
*** Bonus = 20**

NOTE: ALL SCORING IS DONE ON THE ANSWER SHEET

NO COVER SHEET NEEDED FOR BONUS POINTS